existing public assets and reinvesting the proceeds into new infra projects, it added. The funds go not just to the Centre, but also to public sector companies, port authorities and state governments, depending on the asset ownership structure.

BUILDING ON NMP 1.0

The Modi government had previously struggled to raise funds through outright privatisation of state-run firms. NMP 1.0, too, had its critics, who say it made slow progress. But the government claims it achieved much of what it had set out to do—89 per cent of the Rs 6 lakh crore target. B.V.R. Subrahmanyam, CEO of NITI Aayog, says the Rs 5.3 lakh crore came mostly from highways, coal, mines, petroleum and natural gas, and ports.

NMP 2.0 will broadly follow the concepts laid out in NMP 1.0. This will comprise elements such as transfer of assets for a limited period, divestment of portions of listed entities to unlock additional capital, securitisation of cash flows or strategic commercial auctions. It will look to monetise around 2,000 assets. Of the Rs 16.72 lakh crore, Rs 10.8 lakh crore is likely to be generated in the five years of NMP 2.0 till FY30, while the remaining will flow thereafter. The 12 sectors included are highways (including multi-modal logistics parks or MMLPs, and ropeways), railways, power, petroleum and natural gas, civil aviation, ports, warehousing and storage, urban infrastructure, coal, mines, telecom and tourism.

Of these, the highest total monetisation value target is highways at Rs 4.42 lakh crore (26 per cent of the total). Some 21,300 km of highways, 15 MMLPs and six ropeways will be targeted. This is followed by power (Rs 2.76 lakh crore or 17 per cent), ports (Rs 2.63 lakh crore or 16 per cent) and the Railways (Rs 2.62 lakh crore, around 16 per cent). "The big difference between asset monetisation and disinvestment is that you do not lose the title. The asset remains yours. So, after the concession period, say 15, 30 or 35 years, the asset comes back to the owner. This is the biggest advantage," says Subrahmanyam.

THE NMP 2.0 FIVE-YEAR TARGET

A break-up of planned asset monetisation in 12 sectors



Highways, MMLPs*, Ropeways
4,42,000 (26%)



Power
2,76,500 (17%)



Railways
2,62,300 (16%)



Ports
2,63,700 (16%)



Coal
2,16,000 (13%)



Mines
1,00,000 (6%)



Urban infrastructure
52,000 (3%)



Civil aviation
27,500 (2%)



Petroleum and natural gas
16,300 (1%)



Warehousing and storage
10,000 (1%)



Telecom
4,800 (0.3%)



Tourism
1,200 (0.1%)

Total: Rs 16,72,300 cr.

■ Estimated Total Monetisation Value (TMV) in Rs cr.

■ % rounded off

**MMLPs: Multi-modal logistics parks*

THE ROLLOUT

The assets and transactions identified are expected to be rolled out through a range of instruments, including direct contractual instruments such as public private partnership (PPP) concessions, capital market instruments such as Infrastructure Investment Trusts (InvIT), among others. The choice of instrument will be determined by the sector, nature of the asset, timing of the transactions (including market considerations), target investor profile, the level of operational/investment control envisaged by the asset owner and such.

Since most of the asset monetisation happens with respect to individual companies, and does not get reflected in the Union Budget, it is not easy to independently track the targets achieved in NMP 1.0. This will be true for the next phase too. "Asset monetisation here is a combination of government divesting stake in a PSU and a PSU monetising its assets like roads or airports," says Madan Sabnavis, chief economist, Bank of Baroda. "The former adds revenue to the government budget under miscellaneous revenue. The latter accrues to the PSU. The NMP announced is a mix of both."

A significant contribution of NMP 1.0 was that it helped create new classes of investors in India by converting operational public infrastructure assets into stable, investment grade opportunities, says the NITI Aayog report. By standardising regulatory frameworks and emphasising long-term PPP concessions, the projects under NMP 1.0 attracted investments from global and domestic pension funds, sovereign wealth funds and domestic insurance companies, segments which traditionally had limited exposure to core infra projects. Further, this has provided infrastructure debt financing through the banking system and bond market.

'This shift has expanded the scope of India's infrastructure investor base beyond construction-centric developers to long-term yield investors. It also deepens domestic capital markets and aligns public asset recycling with global norms of institutional infrastructure ownership," adds the NITI Aayog report. ■